CASE assignment 1 (20 points)

ISBM & Positioning the Infiniti G20

MKTG 612

Mini-group Number: K

Members	Contribution (e.g. Everyone contributes equally to this report)
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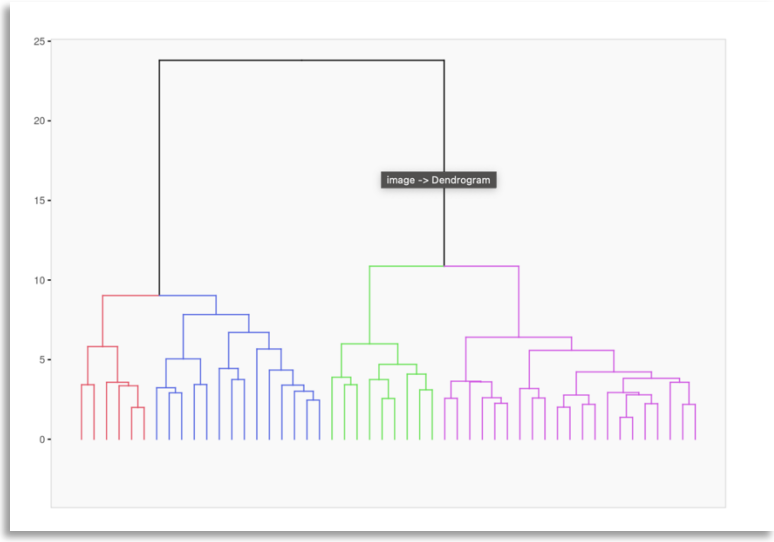
Instruction: Please answer the following questions clearly using the output from your data analysis (if necessary). The assignment includes two cases: i) ISBM and ii) Positioning the Infiniti G20.

- **Case (i) ISBM (10 points)**

Q1. Identify the number of distinct segments present in this market. (2 points)



Segment description

Segment size

	Population	Segment 1	Segment 2
Size	50	20	30
Relative size	100%	40%	60%

Segment size.

Segment description

	Population	Segment 1	Segment 2
Networking.C1	6.12	7.9	4.93
Educational Needs.C2	7.1	8.95	5.87
Business Templates	6.44	8.1	5.33
Consulting	6.56	5.95	6.97
Implementation	6.06	5.85	6.2
B2B Expertise	7.18	8.8	6.1
Leading Edge Research	5.82	4.65	6.6
Manpower (Recruiting)	5.96	7.2	5.13
Placement (Jobs)	5.34	6	4.9
Global Scope (Asia and Europe)	6.24	5	7.07
Courses	7.3	9	6.17
Sounding Board for QA	6.02	8.05	4.67
Forum for Presentation	5.94	7	5.23
Networking.C14	5.78	5.25	6.13
Educational Needs.C15	4.44	1.9	6.13

Segment description. Average value of each segmentation variable, overall for each segment (centroid). Segmentation variables that are statistically different from the rest of the population are highlighted in red (lower) or green (higher).

Based on our analysis of the dendrogram, we have decided that a **2-cluster solution** is the best representation of the market structure for the ISBM case. The dendrogram visually highlights a significant jump in linkage distance when the clustering transitions from two clusters to one, indicating that the most natural and substantial division in the data occurs at this point. This suggests that observations within each of the two clusters are much more similar to one another than to those in the other group, supporting a statistically robust segmentation. Although a 4-cluster solution could provide finer detail, the 2-segment solution is more strongly supported by the underlying data and is easier to justify both statistically and interpretively. Therefore, I recommend segmenting the market into two distinct clusters for clarity and actionable insight.

Q2. Identify and name the clusters you select. Given the attributes of ISBM, which clusters would you target for Ralph's retention and customer acquisition campaigns? (3 points)

Cluster 1: Network Builders

- Highly value networking, consulting, and B2B expertise
- Prioritize educational needs, business templates, and collaborative solutions
- Seek business growth through partnerships and practical resources
- Show strong interest in skill-building and implementation support
- Moderate emphasis on global scope and placements

Cluster 2: Global Innovators

- Strongly value leading edge research and global exposure (focus on Asia and Europe)
- Prioritize courses, advanced learning, and professional development
- High need for manpower recruiting and job placement services
- Interested in sounding board activities and forums for presentation
- Less focused on networking or template resources compared to Cluster 1

For Ralph's campaigns, retention should focus on Network Builders (existing clients who deeply value ISBM's core strengths), while customer acquisition efforts should target Global Innovators, leveraging ISBM's global programs, research, and recruiting services to attract new organizations looking for those attributes

Q3. Rerun the cluster analysis in Q1 with a Discriminant analysis. What are the organizational characteristics that describe each of the segments? (3 points)

Descriptor analysis

Descriptors

This table reports the descriptor averages of each segment. The more differences can be found, the easier it will be to predict segment membership based on descriptors alone.

	Population	Segment 1	Segment 2
Chemical	0.42	0.8	0.167
`Hi-Tech`	0.62	0.25	0.867
Services	0.46	0.1	0.7
Products	0.54	0.8	0.367
`Distance from State College`	2.68	1.65	3.37
Revenue	3.8	4.65	3.23
`Marketing and Sales`	3.4	4.4	2.73
CMO	0.72	0.95	0.567

Descriptor data per segment. Average value of each descriptor, overall and within each cluster. Descriptors that are statistically different from the rest of the population are highlighted in red (lower) or green (higher).

Network Builders

- Much higher share of chemical firms and those selling products.
- Lower proportion of Hi-Tech and Services firms compared to the overall population.
- Located closer to State College (lower average distance).
- Higher organizational revenue and larger marketing & sales teams.
- More likely to have a CMO function.
- Distinctive attribute: This segment is significantly overrepresented among chemical and product organizations and less so among hi-tech/services firms.

Global Innovators

- Much higher share of Hi-Tech and Services firms.
- Lower proportion of chemical and product-focused organizations.
- Located farther away from State College (higher average distance).
- Lower organizational revenue and smaller marketing & sales teams.
- Less likely to have a dedicated CMO function.
- Distinctive attribute: This segment is represented mostly by hi-tech and service-based organizations, geographically more dispersed and with somewhat fewer resources.

Q4. If you were asked to design a questionnaire for this case, please develop 3 survey questions to be included. (2 points)

1. What is your organization's primary business area?
    - a) Chemicals
    - b) Products
    - c) Hi-Tech
    - d) Services
2. How important is access to industry networking events for your firm's business growth? (Rate on a scale from 1—not important, to 10—extremely important)
3. How valuable do you find participation in global market studies? (Rate on a scale from 1—not valuable, to 10—extremely valuable)

- **<u>Case (ii) Positioning the Infiniti G20 (10 points)</u>**

Q5. Describe the two (or, if applicable, three) dimensions underlying the perceptual maps that you generated. Based on these maps, how do people in the market perceive the Infiniti G20 compared with its competitors? (4 points)

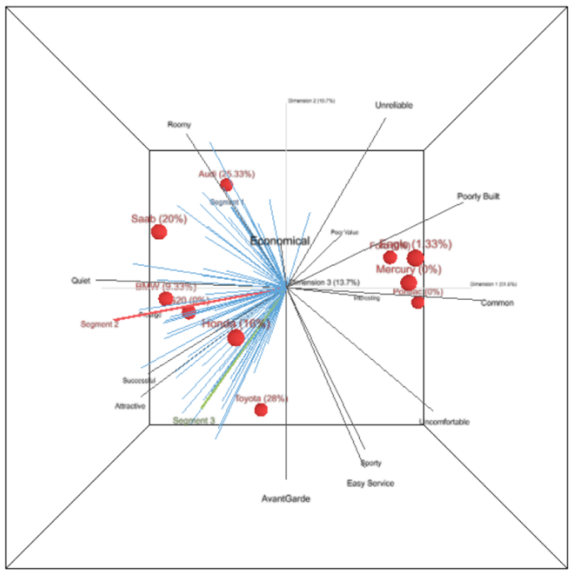
The first 2 dimensions of the positioning map explain 70.3% of the variance in the data.

Consequently, the first 3 dimensions will be displayed. The third-dimension accounts for an additional 13.7% of the variance, for a total of 84.0%.

	Variance explained	Cumulative variance
Dimension 1	51.6%	51.6%
Dimension 2	18.7%	70.3%
Dimension 3	13.7%	84.0%
Dimension 4	8.6%	92.6%
Dimension 5	2.9%	95.5%
Dimension 6	2.6%	98.0%
Dimension 7	1.3%	99.3%
Dimension 8	0.5%	99.9%
Dimension 9	0.1%	100.0%
Dimension 10	0.0%	100.0%

Variance explained. Variance and cumulated variance explained, by dimension.

3D visualization



Map | Objects

Display objects (e.g. brands)
Display attributes
Display preferences
Display segment preferences
Color-code segments

Display all segments

Visualization in 3D of the perceptual map. To rotate the map, holds the left mouse button down and move it around.

	Dimension I	Dimension II	Dimension III
Attractive	-0.8	-0.599	-0.04
Quiet	-0.992	0.041	0.118
Unreliable	0.479	0.819	0.317
Poorly Built	0.855	0.414	0.314
Interesting	0.53	-0.061	-0.846
Sporty	0.435	-0.898	-0.066
Uncomfortable	0.759	-0.639	0.124
Roomy	-0.546	0.837	-0.028
Easy Service	0.385	-0.89	0.243
Prestige	-0.825	-0.157	-0.544
Common	0.969	-0.063	0.238
Economical	-0.021	0.157	0.987
Successful	-0.818	-0.508	-0.27
AvantGarde	-0.003	-0.85	0.527
Poor Value	0.385	0.373	-0.845

Attributes coordinates. Displays the coordinates of all the attributes in every dimension.

	Dimension I	Dimension II	Dimension III
1 Most positive	Common	Roomy	Economical
2	Poorly Built	Unreliable	
3	Uncomfortable		
4 ...			
5	Attractive		
6	Successful	AvantGarde	
7	Prestige	Easy Service	Poor Value
8 Most negative	Quiet	Sporty	Interesting

Dimension interpretation. Displays the names of the attributes most aligned with each dimension.

Based on the analysis, we conclude that two dimensions explains 70.3% of variance and with three dimensions explains 84% of variance.

Dimension I: Image and Commonality (e.g. - Poorly Built, Uncomfortable, Attractive, Prestige)

Dimension II: Roominess and Service (e.g. - AvantGarde, Easy Service, Sporty)

Dimension II: Economical Value and Interest (e.g. – Poor value, Interesting, Economical)

Segment I: Well, positioned – Strong alignment with G20's attributes; high preference for image and prestige.

Segment II: Possible to extend – Moderate fit; values convenience and roominess; could respond to targeted messaging.

Segment III: Harder to extend – Lowest alignment; prefers economy and uniqueness; requires major changes to appeal.

Q6.

a) **Which attributes are most important in influencing preference for these cars in the three segments (S1, S2, and S3) shown on these maps? (1 point)**

   Segment I (S1): Values attributes related to image, prestige, and commonality such as "Attractive," "Successful," and "Prestige." This segment also appreciates attributes linked to comfort and service, such as "Quiet" and "Easy Service."

   Segment II (S2): Places importance on physical and functional attributes including "Roomy," "Unreliable," and "AvantGarde." Convenience and uniqueness are key factors for this group.

   Segment III (S3): Focuses on economical and distinctive attributes represented by "Economical," "Poor Value," and "Interesting," highlighting value for money and product distinctiveness.

b) **To which segment(s) would you market the Infiniti G20? (1 point)**

   The Infiniti G20 should be primarily marketed to Segment I (well positioned) because this segment has the strongest alignment with the G20's attributes like prestige, image, and comfort, making it the most natural and profitable target.

   Additionally, Segment II (possible to extend) is a secondary target where marketing and product adjustments can extend the G20's appeal by emphasizing convenience and value attributes.

Segment III is less suitable for marketing efforts as it is harder to extend the G20's appeal to this group without significant repositioning or product changes due to differing value preferences (economical and distinctiveness factors).

c) **How would you reposition the Infiniti G20 to best suit the chosen segment(s)? (2 points)**

To reposition the Infiniti G20 effectively for Segment I and Segment II:

For Segment I (Well Positioned):

Reinforce attributes of prestige, quality, and comfort, highlighting the G20's image as a successful and attractive luxury vehicle.

Emphasize quietness and reliability in marketing, while maintaining or enhancing performance and design to sustain their strong preference.

Use messaging focused on status, refined aesthetics, and traditional luxury appeal.

For Segment II (Possible to Extend):

Highlight convenience, roominess, and service-related benefits to attract this segment's value on functional and practical features.

Introduce or emphasize innovative and avant-garde features such as modern technology and ease of use.

Tailor promotions to show how the G20 fits an active lifestyle while providing a good balance of functional benefits at a reasonable value.

d) **Briefly describe the marketing program you would use to target the chosen segment(s)? (2 points)**

To target the chosen segments for the Infiniti G20, the marketing program should focus on:

Segment I (Well Positioned): Emphasize prestige, luxury, and brand image. Use premium advertising in upscale media, sponsorship of luxury events, and personalized customer experiences. Highlight G20's success, attractiveness, and quiet comfort through testimonials, influencer endorsements, and elite test drives.

Segment II (Possible to Extend): Highlight convenience, roominess, and innovative features. Use targeted promotions focusing on family-friendly aspects and value-added services. Leverage digital marketing and social media to communicate ease of use, spacious design, and hassle-free servicing to attract this more practical segment.